such a bank was ‘likely in the end to become subservient to the Government and the Legislature’.[9] He also strongly objected to the Joint Committee’s recommendation regarding election of three members of the Board of Directors by the Central Legislature and three members by the Provincial Legislatures. Blackett made it clear that the government was not prepared to accept the scheme framed by the Committee. In the government’s opinion, ‘it would be preferable to lose the Bill altogether rather than to accept that proposal as it stands’.[10]

Blackett then put forward a compromise scheme. While the bank was to be a shareholder’s bank as proposed by government and provided in the original Bill, changes were suggested in the original scheme with a view to ensuring a wide distribution of shares and predominantly Indian ownership. The original proposal to give preference in the allotment of shares to the Imperial Bank shareholders was dropped. The nominal value of each share was to be reduced from ₹500 to ₹100 and preference was to be given to shareholders domiciled or ordinarily resident in India. The dividend was to be fixed lower at 6 percent as against 8 percent originally. As regards, the constitution of the *first* Board, Blackett proposed that instead of nine shareholder Directors being nominated by government, only five should be nominated, and that two each should be allotted to FICCI and ASSOCHAM.[11]

On August 31, 1927, Blackett, in his concluding speech announced that though the government felt that the shareholders’ scheme was the best, they were ready to give it up if by making that concession they could secure ‘that the Bill will finally reach the Statute-book in a shape acceptable to them.’ At the same time he made it very clear that the government strongly objected to election of the bank’s Directors by the Legislature.[12]

Referring to a system of ‘Electoral Colleges’[13] in place of shareholders as electors (as suggested by S. Srinivasa Iyengar), Blackett said that the government were willing to accept it in principle. When the clause by clause consideration of the Bill was then taken up and the clause relating to share capital came up, the Finance Member stated that the government was yielding on the question of a shareholders’ bank, but only on condition that amendments to the Bill would be made for providing for a satisfactory directorate.[14]